

Employee Advance Approval & Recovery Guide

How authorized users review, approve/reject, disburse, recover installments, perform full settlement, and manage advance records.

Audience	Super Admin / School Admin / HR authorized users
Module	HRM / Employee Advance
Purpose	Practical user guide based on the current Employee Advance workflow.

Important: Actual eligibility, limits, interest, approval, and recovery behavior are controlled by the active policy configured by the school.

1. Who Can Manage Employee Advances

In the current implementation, advance management actions are authorized for **SUPER_ADMIN**, **SCHOOL_ADMIN**, and **HR** roles. Employee self-service and administrator management are separated.

2. Review Before Approval

- Confirm employee identity, employee ID, department, designation, and request reason.
- Review requested amount and requested installments.
- Review eligible amount and the policy snapshot attached to the request.
- Check the policy minimum amount and maximum installment count.
- Confirm whether interest is NONE, FLAT, or PERCENTAGE.

3. Approving a Request

Only a PENDING, active request can be approved. The approved amount cannot exceed either the requested amount or the employee eligible amount, and it cannot be below the configured minimum. Approved installments cannot exceed the policy maximum. An approval remark is required by the workflow.

When approved, the system calculates interest on the approved amount and stores the total recoverable amount. Recovery remains NOT_STARTED until disbursement.

4. Rejecting a Request

Only a PENDING request can be rejected. The system records the rejecting user and rejection time. The rejection remark should clearly explain the decision so the employee can understand the outcome.

5. Disbursement

An approved advance must be disbursed before recovery begins. The current flow requires the disbursed amount to equal the approved amount. The administrator records payment mode, optional payment reference, and disbursement remark.

At disbursement, the system generates the installment schedule, changes disbursement status to DISBURSED, changes recovery status to RUNNING, and initializes outstanding amount to the total recoverable amount.

6. Recovering Installments

Authorized users can record recovery against an installment. The system prevents recovery after the advance is completed and prevents recovery before disbursement. Each installment maintains its due amount, recovered amount, remaining amount, recovery timestamp, status, and remark.

As recoveries are recorded, the advance-level total recovered and outstanding amounts are updated. When outstanding reaches zero, recovery status becomes COMPLETED.

7. Full Settlement / Foreclosure

Use Full Settlement when an employee wants to repay the entire remaining balance early. This action is allowed only after disbursement and before recovery is already completed.

Validation	System Behavior
Settlement amount	Must equal the exact current outstanding amount.
Pending installments	Remaining amounts are allocated across pending/partially recovered installments.
Installment status	Affected remaining installments are marked SETTLED.
Advance totals	Total recovered becomes total recoverable; outstanding becomes 0.
Recovery status	Becomes COMPLETED.
Audit fields	System records that it was foreclosed, settlement date, authorized user, amount, and remark.

8. Example: 4 Installments, Closed After 2

Approved and recoverable amount: 40,000. Four installments: 10,000 each. After installment 1 and 2 are recovered, total recovered is 20,000 and outstanding is 20,000. If the employee requests early closure, use Full Settlement for exactly 20,000. The system settles the remaining balance and marks the advance COMPLETED.

9. New Application After Completion

Do not delete the completed advance. It is historical data. The active-advance check should treat PENDING and APPROVED advances with NOT_STARTED/RUNNING recovery as open. A COMPLETED advance, including a foreclosed advance, should no longer block a new application when the policy disallows multiple active advances.

10. Record Management

Soft-delete/restore behavior should be used for administrative record lifecycle. Approved or disbursed advances should not be casually deleted. Preserve completed requests, approval details, disbursement details, installment history, and settlement information for reporting and traceability.

11. End-to-End Workflow

Employee applies -> Policy/eligibility validation -> PENDING (or auto-approved) -> Approve or Reject -> Disburse -> Generate installments -> Recover installments OR Full Settlement -> COMPLETED -> Employee may apply again subject to current policy.

12. Decision Checklist

- Is the request still PENDING?
- Is the approved amount within requested and eligible limits?
- Is the installment count within policy maximum?
- Has interest been calculated using the policy snapshot?
- Before disbursement, is the payment amount equal to approved amount?
- Before recovery, is the advance DISBURSED?
- For full settlement, does the amount exactly equal outstanding?
- After final recovery, verify outstanding = 0 and recovery status = COMPLETED.